

Larsen & Toubro Ltd (LT)

ROE	10.49%
ROCE	17.18%
CFO Quality	High Quality
Capital Allocation	Liquidating Assets

Strengths

- Consistently high return on equity above 20% demonstrates exceptional capital efficiency.
- Sustainable dividend payout backed by positive free cash flow.
- Return on equity improving for 3 consecutive years shows strengthening business quality.

Risks

- Operating margins declining for 3 consecutive years suggest pricing or cost pressure.
- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk.